than it spent to win them.
Example: A gym spends R 50 000 on ads and gains 200 new members — their CAC is R 250 per member.
Source: Investopedia (2024).

(23) Customer Lifetime Value (CLV / LTV)
Definition: CLV is the total profit expected from one customer over the entire relationship — not just a single purchase. A healthy CLV : CAC ratio (ideally 3:1 or higher) means the business earns far more than it spends to acquire customers.
Example: A showmax subscriber at R99/month who stays 18 months has a CLV of R 1782. With a R200 CAC, the ratio is nearly 9:1 — very strong.
Source: Hubspot (2024)

(24) Churn Rate
Definition: Churn Rate is the percentage of customers who cancel or stop using a product in a given period. High churn is a warning sign, especially for subscription businesses. because it means customers leave faster than they can be replaced.
Exp: If a software company starts a month with 500 subscribers and 30 cancel, the monthly churn rate is 6%
Source: Investopedia (2024).

(25) Customer Retention Rate
Definition: Retention Rate is the percentage of customers a company keeps over a given period — the opposite of churn. High retention is usually